



STRATHMORE BUSINESS SCHOOL

MASTER OF BUSINESS ADMINISTRATION

END OF SEMESTER EXAMINATION

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: Tuesday, 14th December 2021

Time: 3 Hours

Instructions

1. This examination consists of **FOUR** questions.
2. Answer **question one** and **any other two** questions

Question 1 (50 Marks)

Use the case provided to answer this question.

- (a) Highlight the main business of the organization **(2 Marks)**
- (b) Identify the key items of income, expenses, assets, liabilities and capital. Compare the figures for year 2019 and 2020 and provide possible reasons why the figures may have changed **(18 Marks)**

Hint: You can present your answer as follows:

Key Items	2019	2020	Change	Possible reason for change
	Sh.m	Sh.m	Increase/Decrease	

NB) Present the figures in millions and focus on material amounts.

(c)

(i) For years 2019 and 2020, compute the following ratios (**Each pair of ratios is 2 Marks**):

- Gross profit margin
- Net profit margin
- Current ratio
- Quick ratio
- Debt ratio
- Debt Equity ratio
- Cash Flow to Revenue
- Cash Flow to Assets

(16 Marks)

(ii) Using the financial statements and the ratios computed in (i) above comment on the profitability, liquidity, solvency and cash flow aspects of the company. **(4 marks)**

(d) Use the balanced scorecard to analyse the performance of the company for the year 2020. Consider the five perspectives and highlight potential goal and the measure(s) you have used. Summarise your answer using a table with the following headings **(10 Marks)**

Perspective	Goal	Evaluation supported with a measure
-------------	------	-------------------------------------

Question 2 (25 Marks)

The following trial balance relates to Westmall Limited as at 31 December 2020:

	sh.m	sh.m
Ordinary shares of sh.10 (fully paid)		350
7% Preference shares of sh.10 (fully paid)		100
Share Premium		171
Retained earnings 1.1.2020		202
10% Loan stock		200
Land	150	
Buildings at Cost	250	
Furniture & Equipment	620	
Motor Vehicles	240	
Aggregate depreciation as at 1.1.2020		
Buildings at Cost		20
Furniture & Equipment		170
Motor Vehicles		52

Inventory 1.1.2020	190	
Sales		2,695
Purchases	2,152	
Long term Financial Assets	50	
Preference Dividend Paid	7	
Ordinary Dividend Paid	25	
Interest on Loan stock paid	10	
Investment Income		5
Administration expenses	160	
Marketing and Distribution expenses	31	
Other operating expenses	53	
Tax Paid	20	
Issue of new shares at a price of sh. 15 per share		120
Trade accounts receivable	179	
Trade accounts payable		185
Cash at Bank	127	
Cash in Hand	<u>6</u>	<u>-</u>
	<u>4,270</u>	<u>4,270</u>

Additional information:

1. Inventory as at 31 December 2020 was valued at sh.210 million.
2. The following expenses are prepaid and accrued:

Expense	Accrued (Sh.m)	Prepaid (Sh.m)
Administration Expense	16.00	4.00
Marketing and Distribution Expenses	1.00	-
Other Operating Expenses	6.00	2.00

Meanwhile, interest on the 10% loan stock is paid after every six months i.e. 30 June and 31 December. The company had not paid the amount due for 31 December. The Loanstock will be paid back in full in 2025.

3. Land is to be revalued upwards to sh.160 million.
4. The following depreciation rates apply on cost:

	Rate	Classify as...
Buildings at Cost	2%	Administration expense
Furniture & Equipment	25%	Administration expense
Motor Vehicles	20%	Distribution Expense

5. The company issued new shares at a premium of 50%. The entry has not been posted in the relevant accounts.

6. Even though the company paid installment taxes of sh.20 million as per the trial balance, the actual tax for year 2020 was estimated at sh.25 million.

(a) Prepare the following reports:

(i) The statement of Profit or Loss for the year ended 31 December 2020 **(8 Marks)**

(ii) The statement of changes in equity for the year ended 31 December 2020 **(4 Marks)**

(iii) The statement of Financial Position as at 31 December 2020 **(8 Marks)**

(b) In addition to the financial statements prepared discuss the importance and content of the following additional reports

(i) Management Discussion and Analysis **(3 Marks)**

(ii) Risk Management **(2 Marks)**

Question 3 (25 Marks)

(a) Samantha Tyre company, is a small and medium sized firm that makes and sells tyres in Thika Town. The company projects that it will sell 400,000 tyres of Model 315/80R22.5 Kiboko AP in 2022. After obtaining actual costs for the factory for 12 months to 31 October 2021, the cost accountant reported the following output from the regression model:

Regression Statistics					
Multiple R	0.765282543	R Square	0.58565737	Adjusted R Square	0.544223108
ANOVA					
	df	SS	MS	F	Significance F
Regression	1	1.225E+17	1.225E+17	14.13461538	0.003724583
Residual	10	8.66667E+16	8.6667E+15		
Total	11	2.09167E+17			
	Coefficients	Standard Error	t Stat	Lower 95%	Upper 95%
Intercept	233,333,333.33	65603771.81	3.55670607	87,159,020.53	379,507,646.13
Slope	1,000.00	265.9855246	3.75960309	407.35	1,592.65

Required

(i) Estimate the total cost of making the 400,000 from the regression output **(2 Marks)**

(ii) Discuss the extent to which the regression model can be relied upon for cost estimation
(2 Marks)

(iii) The factory manager is proposing an alternative method that provides the same approach to estimating costs like regression method, as the method is less mathematically intensive. State the method and explain with reasons whether the method is superior to the regression model
(4 Marks)

(b) Diamond Limited, a company based in the US, manufactures and sells office chairs. During the year ended 31 December 2020, the company prepared flexible budgets from making and selling 1,000 chairs to 5,000 chairs. The following is an extract of the flexible budget of 2,000 and 3,000 chairs.

Diamond Limited			
Flexible Budgeted Statement of Profit or Loss for the year ended 31 December 2020			
		2,000	3,000
		\$000	\$000
Revenue		<u>1,000.00</u>	<u>1,500.00</u>
<u>Cost of Making/Cost of Sales</u>			
Direct Materials	Metal	120.00	180.00
	Leather	60.00	90.00
Direct Labor	Shaping	360.00	540.00
	Finishing	40.00	60.00
Production overheads	Variable	80.00	120.00
	Fixed	<u>50.00</u>	<u>50.00</u>
Total Cost of Making /Cost of Sales		<u>710.00</u>	<u>1,040.00</u>
Gross Profit (Revenue - Cost of Making/cost of sales)		<u>290.00</u>	<u>460.00</u>
<u>Other Expenses</u>			
Administration expense	Fixed	60.00	60.00
Selling & Distribution	Variable	20.00	30.00
	Fixed	<u>30.00</u>	<u>30.00</u>
Total Other Expenses		<u>110.00</u>	<u>120.00</u>
Profit before Tax (Gross Profit - Total expe)		<u>180.00</u>	<u>340.00</u>

Required

(i) Prepare the flexible budget for 4,000 and 5,000 units
(8 Marks)

- (ii) The company planned to make and sell 3,000 units in 2020. However, the company made and sold 4,000 units reporting a profit of \$400, 000. Comment on the budgeted and actual performance and provide three possible reasons for the performance

(6 Marks)

- (iii) Estimate the breakeven level in units and currency

(3 Marks)

Question 4 (25 Marks)

(a) Specks Motors is a UK company that carries out manufacturing of motor vehicle parts. One of the divisions is currently negotiating with another supplier regarding outsourcing component A that it manufactures. The division currently manufactures 10 000 units per annum of the component.

The costs currently assigned to the components are as follows:

	Total costs of producing 10 000 components (£)	Unit cost (£)
Direct materials AB	120 000	12
Direct labour	100 000	10
Variable manufacturing overhead costs (power and utilities)	10 000	1
Fixed manufacturing overhead costs	80 000	8
Share of non-manufacturing overheads	50 000	5
Total costs	360000	36

The above costs are expected to remain unchanged in the foreseeable future if the Specks Motors division continues to manufacture the components. The supplier has offered to supply 10 000 components per annum at a price of £30 per unit guaranteed for a minimum of three years. If the division outsources component A, the direct labour force currently employed in producing the components will be made redundant.

No redundancy costs will be incurred. Direct materials and variable overheads are avoidable if component A is outsourced. Fixed manufacturing overhead costs would be reduced by £10 000 per annum but non-manufacturing costs would remain unchanged. Assume initially that the capacity that is required for component A has no alternative use.

Required

- (i) Advise on whether the division should outsource the making of component A

(10 marks)

- (ii) The management is planning for the UK division to transfer some of the component parts to other divisions outside UK and is evaluating various pricing strategies.

Highlight three possible prices and Two factors that the management should consider in choosing a suitable transfer price **(5 Marks)**

(b) In light of how Management Accounting supports strategy and decision making, discuss briefly the following aspects of strategy implementation:

(i) Just-In-Time **(3 Marks)**

(ii) Total Quality Management and use of Six Sigma **(4 Marks)**

(iii) Kaizen **(3 Marks)**